

- Pension income
- Any gifts/regular incoming cash from your parents and relatives

Figure 7.3 shows a sample snapshot of the calculation of the cash inflow. This spreadsheet lists each income head, whether big or small. Of course, each of you can have slightly different income heads – but for most of us, the below list should be good enough.

Please note that each Income source should list down the monthly "net" income post all tax deduction – the income that finally gets credited to your bank account.

Once your cash inflow spreadsheet is complete, you are now ready with your expenses and income for each month. You are now done with the first part of this exercise. I want to reemphasize here that you should not be in a hurry to complete this exercise. Spend time in laying a strong foundation. Typically, if you have never done such a detailed exercise before, it will take you at least 1 to 2 months to do some justice to this activity. During these weeks, keep monitoring where you use your card, cash, cheque etc., and whether or not you have written down all those expenses in your cash flow sheet.

Once completed, this exercise either re-confirmed that you were already in total control of your finances, or more likely (as is the case for most of us), it confirmed that we spend more than we ever thought.

Income Head (Alter as per need)	Jan'14	Feb'14	Mar'14	Apr'14	May'14	Jun'14	Jul'14	Aug'14	Sep'14	Oct'14	Nov'14	Dec'14	Monthly Average 2014
Salary	1,74,000	1,74,000	1,74,000	1,74,000	1,74,900	1,74,000	1,74,000	1,74,000	1,74,000	1,74,000	1,74,900	1,74,000	1,74,000
Rent	18,000	18,000	18,000	18,000	18,900	18,000	18,000	18,000	18,000	18,000	18,000	18,000	18,000
PF (Self + Company Contribution)	25,418	25,418	25,418	25,418	25,418	25,418	25,418	25,418	25,418	25,418	25,418	25,418	25,418
Fringe Benefits / LTA Claimed	6,491	0	1,187	0	3,450	11,000	2,450	3,420	0	0	7,600	7,200	3,567
Employer Bonuses	0	0	2,46,000	0	0	0	0	0	0	0	0	0	20,417
Insurance Bonuses	4,300	0	0	0	0	6,200	0	0	0	3,400	0	0	1,158
Misc	3,200	400	0	0	0	345	2,300	1,000	300	0	0	1,245	733
TOTAL	2,31,409	2,17,818	4,63,605	2,17,418	2,20,168	2,34,963	2,22,168	2,21,838	2,17,718	2,20,818	2,25,818	2,25,863	2,43,292

Fig 7.3 : Cash Inflow Spreadsheet

Knowing the monthly income and expenses, we can easily calculate our saving potential every month